

Green PFM II — Feasibility Study

Mission Meeting Notes

Kigali Field Mission — May 15, 2026 | Consultant: Yoan Raih

INTERNAL — Not for external circulation

IMF — Resident Representative

Date	2026-05-15
Time	11:00
Axis	A / B
Counterpart attendees	Habtamu Fuje (Resident Representative, IMF)
Mission team	Yoan Raih (Consultant)

Key Points

- New IMF program (ECF, \$250M over 3 years) is going to the board on June 8; program document released the following day. Aligning AFD/EF interventions with the program timeline and benchmarks will be essential.
- Program pillar 1 — SOEs, transparency and fiscal risks (not climate-specific): Structural target is MINECOFIN publishing audited financial statements of SOEs. World Bank PforR overlaps on the same issue. Key nexus: SOE borrowing from the financial sector — IMF is pushing to monitor large exposures and reduce systemic risks to the banking sector.
- Climate agenda: Rwanda has expressed interest in RSF2 (Resilience and Sustainability Facility) but it is not in the pipeline due to a DC-level blockage. IMF engagement on climate continues through the lens of macro-critical climate risks, covering both fiscal and financial sector dimensions.
- PIMA: No request from the authorities and no clear follow-up plan for this fiscal year.
- Banking supervision: A dedicated technical discussion with the IMF banking specialist is needed. The IMF has not flagged specific challenges on climate risks in banking supervision. High credit growth is the primary supervisory concern — not climate-specific.
- FSAP: Outstanding request from the BNR Governor. Likely to occur toward the end of the program given IMF bandwidth constraints and a large backlog of country requests. To be conducted in collaboration with the World Bank.
- Monetary Policy Framework review: A pickup in inflation since early 2026 (not Rwanda-specific). BNR needs a more hands-on approach to keep inflation anchored; repeated breaches of the upper bound are a concern for both BNR and IMF. Broader engagement includes Quantitative Policy Model (QPM) work. No IMF TA planned; Riksbank is providing TA in this area.
- Domestic market development: Regular updates on yield curve development. BNR and MINECOFIN are targeting 2027 for the publication of a yield curve for the Local Currency Bond Market (LCBM). Follow-up TA is being provided to both BNR and MINECOFIN, as well as to bondholders.
- Revenue: MTRS 2 is in progress, with FCDO association. Focus includes modelling of tax revenue by sector.
- Additional structural benchmark: Review of the investment code.

Potential TA Leads

Area	Description	Priority
Macro-critical climate risks	Support integration of climate risks into fiscal and financial sector frameworks, complementing IMF's ongoing engagement on macro-critical climate dimensions.	HIGH
Monetary policy framework / QPM	Explore AFD/EF complementary role alongside Riksbank TA on monetary policy framework review and QPM. Entry point linked to the MP Framework review component of the ECF.	HIGH